

decline measures a large 24%, above the 22% average for all chart pattern types. The performance rank reflects this, too. Traders not versed in chart patterns can guess what a head-and-shoulders top looks like and get it right.

Tour

[Figure 41.1](#) shows an example of a head-and-shoulders top. The three bumps are clearly visible, with the center bump being the highest of the three. The left shoulder usually appears after an extended uphill run. The entire pattern seems to stand alone when viewed in the context of a year's worth of daily price data. This stand-alone characteristic makes the head-and-shoulders top easily identified in a historical price series.

Typically, the highest volume occurs during the left shoulder, then the head, and then the right shoulder, in that order. The identification guidelines are flexible because volume characteristics vary from pattern to pattern.

A trendline drawn along the bottoms of the two valleys between the three peaks forms the neckline. The line may slope in any direction but slopes upward a bit more than downward.

Why do these chart patterns form? Pretend for a moment that you are a big spender and represent what is commonly called the *smart money*. You are searching for a stock to buy and believe that Toll Brothers ([Figure 41.2](#)) represents an intriguing situation. You review the fundamentals and everything looks good, so you start buying the stock in mid-July as price descends (before the rise to the left shoulder). Your buying halts the drop and the stock begins rising.

Soon you have acquired all the stock you want, so you sit back and wait. As expected, the company issues good news and the stock begins making its move. Other investors jump into the game and buy the stock, sending the price higher. As the stock rises above 10, you decide it is time to sell. After all, you have made 20% in about 2 weeks. Your selling causes the stock to pause and then begin a retrace of the prior action. This forms the right shoulder.